Prepare 50% Faster

Study Notes

SEBI (Prohibition of Insider Trading) Regulations, 2015

Descriptive Question Notes

Question no. 1. Write a short note on compliance officer as per SEBI (Prohibition of Insider Trading) Regulations 2015

Compliance officer means any senior officer, reporting to the Board of Directors or Head of Organization

- ✓ Who is financially literate
- ✓ Is capable of appreciating requirements for legal and regulatory compliance
- ✓ shall be responsible for compliance of policies, procedures, maintenance of records, monitoring adherence to the rules for the preservation of unpublished price sensitive information, monitoring of trades and the implementation of the codes specified in these regulations under the overall supervision of the board of directors of the listed company or the head of an organization

Question no. 2. Write a short note on connected persons as per SEBI (Prohibition of Insider Trading) Regulations 2015?

- **Connected Person** means any person who is or has during the **six months** prior to the concerned act been associated with a company, directly or indirectly, in any capacity, including
    - ✓ by reason of **frequent communication with its officers** or
    - ✓ by being in any **contractual, fiduciary or employment relationship**
    - ✓ by being a **director, officer or an employee of the company** or holds any position **including a professional or business relationship** between himself and the company whether temporary or permanent, that allows such person, directly or indirectly, **access to unpublished price sensitive information** or is reasonably expected to allow such access

- The persons falling within the following, shall be **deemed to be connected persons**.

An immediate relative of connected persons	A banker of the company
An intermediary as specified in section 12 of the Actor an employee or director	A holding company or associate company or subsidiary company
An investment company, trustee company, asset management company or an employee or director thereof	a member of board of trustees of a mutual fund or a member of the board of directors of the AMC of a mutual fund or is an employee
An official of a stock exchange or of clearing house or corporation	A member of the board of directors or an employee, of a public financial institution
a concern, firm, trust, Hindu undivided family, company or association of persons wherein a director of a company or his immediate relative or banker of the company, has more than ten per cent.of the holding or interest	An official or an employee of a self-regulatory organization recognised or authorized by the Board
	an official or an employee of a self-regulatory organization

Write a short note on persons deemed to be connected persons.

Question no. 3. Distinguish between: ‘Insider’ and ‘connected persons’ as per the SEBI (Prohibition of Insider Trading) Regulations, 2015?

Insider [Regulation 2(g)]: Insider means any person who is:

- a connected person or
- In possession of or having access to unpublished price sensitive information

Connected Person [Regulation 2(d)]: Connected person means

Any person who is or has during the 6 months prior to the concerned act been associated with a company, directly or indirectly, in any capacity including by reason of frequent communication with its officers or by being in any contractual, fiduciary, or employment relationship or by being a director, officer or an employee of the company or holds any position including a professional or business relationship between himself and the company whether temporary or permanent, that allows such person, directly or indirectly, access to unpublished price sensitive information or is reasonably expected to allow such access.

Rest information related to connected person is as in Q2

Question no. 4. What is meant by “unpublished price sensitive information”? What are the restrictions on communication or procurement of unpublished price-sensitive information?

Unpublished price sensitive information means any information, relating to a company or its securities, directly or indirectly, that is not generally available and which upon becoming generally available, is likely to materially affect the price of the securities and ordinarily includes information relating to the following:

(a) Financial results

(b) Dividends

(c) Change in capital structure

(d) Mergers, dc-mergers, acquisitions, de-listings, disposals and expansion of business and such other transactions

(e) Changes in KMP

Communication or procurement of unpublished price sensitive information[Regulation 3]:

- No insider shall communicate, allow access or provide UPSI except in furtherance of legitimate proposes, performance of duties or discharge of legal obligations
- No person shall procure or cause the communication of UPSI except in furtherance of..

- Board of Directors of Listed Company to make a policy for determination of "legitimate purpose" as part of "Codes of Fair Disclosure and Conduct"
- Any person in possession of UPSI is insider and due notice is to be given to maintain confidentiality in compliance with these regulations
- UPSI can be communicated if
  - ✓ Obligation to make open offer – BoD of listed company are of informed opinion that sharing of info is in best interest of company
  - ✓ No obligation to make open offer – but BoD …. Best interest of company and UPSI is available at least 2 trading days prior to proposed transactions to be adequate and fair to cover all relevant and material facts
- BoD will require parties to execute agreements to contract confidentiality and non disclosure obligations - parties will keep info confidential and will not trade, when
- Structured Digital Database – information to be entered – Not to be outsourced and should be maintained internally – checks to ensure non-tampering
- BoD to ensure that structured digital database is preserved for a min period of 8 years or till the completion of investigation/enforcement proceedings

Question no. 5. What do you mean by insider trading? Enumerate the penalties which can be imposed under the SEBI Act, 1992 for insider trading?

Insider trading is the trading of a public company's stock or other securities by individuals with access to unpublished price sensitive information about the company. In various countries, trading based on insider information is illegal. This is because it is seen as unfair to other investors who do not have access to the information as the investor with insider information could potentially make far larger profits that a typical investor could not make.

Thus, in insider trading, an insider takes undue advantage of 'price-sensitive information' for his personal benefit. This is not fair in the interest of the capital market in general and investors. Insider trading is an offense in India under SEBI Act 1992.

According to SEBI (Prohibition of Insider Trading) Regulations 2015, Insider shall not communicate, provide or allow access to any unpublished price-sensitive information relating to the company or its securities to any person.

Penalty for insider trading [Section 15G of SEBI Act]: An insider shall be liable to a penalty which shall not be less than ₹ 10 lakhs but which may extend to ₹ 25 Crore or 3 times of profits out of insider trading, whichever is higher.

Question no. 6. Write a short note on Chinese Wall Policy

A 'Chinese Wall' means an arrangement where information known to the person in one part of the business is not available directly or indirectly to those in another part of the business.

To prevent the misuse of confidential information the organization shall adopt a "Chinese Wall Policy" which separates those areas of the organization that routinely have access to confidential information, from those areas which deal with sale/marketing/investment advice or other departments providing support services. The employees in the respective areas shall not communicate any price-sensitive information to the other areas.

Question no. 7. Explain the disclosure requirements by certain persons under the SEBI (Prohibition of Insider Trading) Regulations, 2015

Disclosures by certain persons [Regulation 7]

- **Initial Disclosures** - Every KMP or director or promoter/member of promoter group shall disclose his holding of securities of the company as on the date of appointment or becoming a promoter, to the company **within seven days of such** appointment or becoming a promoter
- **Continual Disclosures**
  - ✓ Promoter, member of promoter group, designated person and director to disclose any acquisition or disposal of securities within 2 trading days of the transaction if the aggregate value exceeds 10 lakh rupees or as specified
  - ✓ Company to notify such trading to stock exchange within 2 trading days of receipt of disclosure or from becoming aware of transaction
- **Disclosures by other connected persons**
  - ✓ Any company may require connected persons to make disclosures of holdings and trading in securities of the company in such form and frequency as may be determined.

Question no. 8. An insider shall specify a trading plan and period for trading in the securities of the company where he is an employee, director or officer. Comment.

Trading when in possession of unpublished price sensitive information [Regulation 4]:

No insider **to trade** in securities that are listed or proposed to be listed when in possession of UPSI.

When a person who has traded in securities has been in possession of unpublished price-sensitive information, his trades would be presumed to have been motivated by the knowledge and awareness of such information in his possession.

Innocence can be proved by-

i) **Transaction is off-market inter-se transfer between insiders**; both parties have made conscious and informed decision. Such off-market trade is to be . **reported to company**

within 2 working days. And Company **to stock exchange within 2 trading days** from receipt of the disclosure or from becoming aware of such information

ii) The transaction was carried out through **the block deal window mechanism between persons**

iii) The transaction in question was carried out **pursuant to a statutory or regulatory obligation to carryout a bona fide transaction.**

iv) The transaction in question was undertaken **pursuant to the exercise of stock options** in respect of which the exercise price was pre-determined in compliance

v) The trades were pursuant to a **trading plan**

vi) **In case of non-individual** insiders

Individuals in possession of UPSI were different from those taking trading decisions

Appropriate and adequate arrangements were in place to ensure that these regulations are not violated; there was no communication of UPSI; no evidence of arrangement being breached.

- Onus of establishing innocence- that they were not in possession of unpublished price sensitive information – connected persons or Board
- **Standards and Requirements** – specified by Board

Trading Plans [Regulation 5]

- Insider has to formulate Trading Plan and present to Compliance Officer for approval and public disclosure
- Such trading plan
  - I. Shall commence after 120 calendar days from the public disclosure of the plan(cool-off period)
  - II. Shall not entail overlap of any period for which another trading plan is already in existence
  - III. Shall not entail trading in securities for market abuse
  - IV. Shall set out either the value of trades to be effected or the number of securities to be traded, the nature of the trade and the price limit that is upper price limit (between closing price on the day before submission of trading plan and upto 20% higher) for a buy trade and a lower price limit (between closing price on the day before submission of trading plan and upto 20% lower) for a sell trade.
- Compliance Officer shall review the trading plan; pre-clearance of trades will not be required for a trade executed as per an approved trading plan.
- Trading plan once approved is irrevocable and shall have to be mandatorily implemented without being entitled to either execute any trade in the securities outside

the scope of the trading plan or to deviate from it except due to permanent incapacity or bankruptcy or operation of law.

- The compliance officer shall approve or reject the trading plan within two trading days of receipt of the trading plan and notify the approved plan to the stock exchanges on which the securities are listed, on the day of approval

Suggestive Questions-

- **Q. A trading plan is an exception to general rule that an insider should not trade when in possession of unpublished price-sensitive information. However, a trading plan once made cannot be revoked. Do you agree? If yes, give reasons for the same.**
- **Q. What is trading plan under SEBI (Prohibition of Insider Trading) Regulations 2015? State the requirements to be complied with in this regard.**

Question no. 9. Enumerate the principles of fair disclosure as are mentioned in Schedule A of SEBI (Prohibition of Insider Trading) Regulations 2015.

- **Prompt public disclosure of UPSI** – such that credible and concrete information is generally available – to impact price discovery
- **Uniform and universal disclosure of UPSI –** to avoid selective disclosure
- Senior officer to be designated as **Chief Investor Relations Officer** – to deal with dissemination of information and disclosure of UPSI
- **Prompt dissemination of UPSI** that get disclosed selectively, inadvertently to make generally available
- **Appropriate and fair response** to queries on **news reports** and requests for verification of **market rumours** by regulatory authorities
- Ensuring that information shared with **analysts and research personnel** is not UPSI
- Handling of UPSI on a need-to-know basis
- Developing best practices to make transcripts or records of proceedings of meetings with analysts and other investor relations conferences on the official website **to ensure official confirmation and documentation of disclosures made**

Question no. 10. Enumerate the minimum standards of Code of Conduct for Listed Companies to Regulate, Monitor and Report Trading by Designated Persons as are mentioned in Schedule B of SEBI (Prohibition of Insider Trading) Regulations 2015.

- Compliance Officer to report to BoD or to Chairman of Audit Committee at specified frequency **but not less than once a year**
- All information shall be handled within the organisation on a need-to-know basis and no UPSI shall be communicated to any person except ….norms for Chinese Wall Procedures to be incorporated

- Designated Persons and immediate relatives of designated persons - shall be governed by an internal code of conduct governing dealing in securities
- Designated Persons may execute trades subject to compliance. **A notional trading window shall be used as an instrument of monitoring trading by the designated person** – to be closed by Compliance Officer when possession of UPSI is expected. **Trading restriction period** – end of every quarter to 48 hours after declaration of financial results.

  Gap between clearance of accounts by audit committee and board meeting shall be as narrow as possible and preferably on same day to avoid leakage of material information
- Trading window restrictions will not apply to **pledge of securities for bonafide purpose** subject to pre-clearance by compliance officer or transactions relating to acquisition by conversion of warrants or debentures, subscribing to rights issue, further public issue, preferential allotment or tendering of shares in a buy back offer, open offer, delisting offer
- **Timing for re-opening of window** – to be determined by Compliance Officer after taking into account various factors; UPSI becoming generally available; and being assimilated by mkt (not earlier than 48 hours)
- When trading window is open, **pre-clearance of compliance officer is required**, if proposed trade is **above thresholds** as BoD may stipulate
- Prior to approving, Compliance Officer **shall seek declarations** that applicant is not in possession of UPSI
- Code of Conduct to specify Reasonable timeframe (not to be more than 7 trading days) within which trades that have been pre-cleared will have to be executed by designated persons, failing which fresh pre-clearance will have to be needed.
- Code of Conduct to specify period (**not to be less than 6 months**), within which a person executing a trade should not execute a contra trade. (Not to be applicable in exercise of stock options)
- Code of Conduct to **formulate formats** for making applications of pre-clearance, reporting of trades, reporting of decisions not to trade after securing pre-clearance or for reporting level of holdings
- Code of conduct shall **stipulate the sanctions and disciplinary actions**, including wage freeze, suspension, recovery,etc., that may be imposed. Amount credited to IPEF
- Code of conduct to specify that the violation shall be promptly **informed by listed company to stock exchange**
- **Designated persons to disclose** names and PAN of following persons on annual basis or as information changes – immediate relatives, persons with whom DP share **material financial relationship** ; phone mobile cell no.s which are used by them
- In addition, the names of educational institutions from which designated persons have graduated and names of their past employers shall also be disclosed on a one time basis

- Listed entities shall have a process for how and when people are brought **'inside'** on sensitive transactions. Individuals should be made aware of the duties and responsibilities attached to the receipt of Inside Information, and the liability that attaches to misuse or unwarranted use of such information

Similar question could be asked from Schedule B1 and Schedule C

Question no. 11. Write a short note on Designated Persons to be covered by Code of Conduct.

- **The board of directors of the asset management company and trustees** shall in consultation with the **compliance officer** specify the Designated Persons to be covered by the code of conduct based on
  - ✓ Their role and function in the organization
  - ✓ Access to unpublished price sensitive information
- These will include
  - ✓ Head of the asset management company (CEO/MD/President)
  - ✓ Directors of the asset management company or the trustee company
  - ✓ Chief Investment Officer, Chief Risk Officer, Chief Operation Officer, Chief Information Security Officer, Fund Managers, Dealers, Research Analysts, all employees in the Fund Operations Department, Compliance Officer and Heads of all divisions and/or departments or any other employee as designated by the asset management company and/or trustees.
  - ✓ Non-Executive Directors of the asset management company/trustee company or trustees who are in possession of / have access to any "unpublished price sensitive information

Question no. 12. What institutional mechanisms should be incorporated by Asset Management Company for Prevention of Insider Trading?

- **CEO/MD of asset management company** to put in place **adequate and effective system of internal controls** to ensure compliance with the requirements given in these regulations **to prevent insider trading**
- Internal Controls shall include
  - ✓ All employees having access to unpublished price sensitive information are identified as Designated Persons
  - ✓ All the unpublished price sensitive information shall be identified and its confidentiality shall be maintained
  - ✓ Adequate restrictions shall be placed on communication or procurement of unpublished price sensitive information

- ✓ Lists of all employees and other persons with whom unpublished price sensitive information is shared shall be maintained and confidentiality agreements shall be signed or notice shall be served to all such employees and persons;
- ✓ Periodic process review to evaluate effectiveness of such internal controls;
- ✓ Compliance of all other relevant requirements specified under these regulations

- CEO/MD should comply with these regulations
- Audit Committee shall review compliance at least once in a financial year and shall verify that the systems for internal control are adequate and are operating effectively
- Every asset management company shall with the approval of the trustees formulate **written policies and procedures for inquiry in case of leak** of unpublished price sensitive information or suspected leak of unpublished price sensitive information and accordingly initiate appropriate inquiries and promptly inform the Board promptly of such leaks, inquiries and result of such inquiries.
- An asset management company shall with the approval of the trustees have a **whistle-blower policy that** is brought to the notice of their employees to enable them to report instances of leak of such unpublished price sensitive information
- The relevant intermediaries and fiduciaries shall co-operate with the asset management company/ trustees in connection with the inquiry of suspected leak.

Question no. 13. Who is informant as per SEBI (Prohibition of Insider Trading) Regulations?

- **Informant** means an individual(s), who voluntarily submits to- the Board a **Voluntary Information Disclosure Form** relating to an alleged violation of insider trading laws that has occurred, is occurring or has a reasonable belief that it is about to occur, regardless of whether such individual(s)satisfies the requirements, procedures and conditions to qualify for a reward

Question no. 14. Write a short note on Original Information as per SEBI (PIT) Regulations 2015

- **Original Information** means any relevant information that is
  - ✓ **derived from the independent knowledge** and analysis of the Informant
  - ✓ **not known to the Board** from any other source, except where the Informant is the original source of the information
  - ✓ is **sufficiently specific, credible and timely** to -(1) commence an examination or inquiry or audit, (2) assist in an ongoing examination or investigation or inquiry or audit, (3) open or re-open an investigation or inquiry, or (4) inquire into a different conduct as part of an ongoing examination or investigation or inquiry or audit directed by the Board
  - ✓ **not exclusively derived from an allegation made in a judicial or administrative hearing**, in a Governmental report, hearing, audit, or

investigation, or from the news media, except where the Informant is the original source of the information; and

✓ **not irrelevant or frivolous or vexatious**

Question no. 15. Write a short note on the procedure for submitting Original Information to the Board and claim of Informant Award, if applicable.

- Informant or his Legal Representative submit 'Original Information' to the Office of Informant Protection of the Board by furnishing Voluntary Information Disclosure Form
- Board may designate a division to function as the independent Office of Informant Protection. Functions are:

a) Receiving and registering the Voluntary Information Disclosure Form
b) Making all necessary communications with the Informant
c) Maintaining a hotline for the benefit of potential Informant
d) Interacting with the Informant Incentive Committee
e) Issuing press releases and rewards relating to Informant
f) Submitting an annual report to the Board relating to functioning of Office of Informant Protection
g) Maintaining confidentiality of the legal representative and act as interface between Informant and the Board

- Office of Informant Protection shall communicate the substance of information + evidence to relevant department of Board for examination and initiation of necessary action
- Board may declare an Informant eligible for Reward and intimate him or his legal representative to file an application (Amount of reward = 10% of monetary sanctions up to a maximum of Rs 10 crores)
- Amount of Reward shall be determined by the Board
- Applicant to disclose the identity and submit Informant Reward Claim Form
- Claim for reward can be rejected if Informant

a) Does not submit original information
b) has acquired original information through member/officer/employee of regulatory agency, self-regulatory organization, surveillance and investigation wings, law enforcement organization
c) Has wilfully refused to cooperate during investigation, inquiry, audit, examination
d) Has knowingly made false accusations, fraudulent statements or used false writing or fails to furnish complete information
e) Was obligated under any law or otherwise to report such Original Information to the Board including a compliance officer
f) Board has initiated criminal proceedings against the Informant

Question no. 16. Write a short note on the functions of Office of Informant Protection

Board may designate a division to function as the independent Office of Informant Protection. Functions are:

h) Receiving and registering the Voluntary Information Disclosure Form
i) Making all necessary communications with the Informant
j) Maintaining a hotline for the benefit of potential Informant
k) Interacting with the Informant Incentive Committee
l) Issuing press releases and rewards relating to Informant
m) Submitting an annual report to the Board relating to functioning of Office of Informant Protection
n) Maintaining confidentiality of the legal representative and act as interface between Informant and the Board

Question no. 17. What are the functions of Informant Incentive Committee

- The Informant Incentive Committee shall be assisted by the Office of Informant Protection and will give recommendations to the Board wrt
  - ✓ Eligibility of Informant for the reward
  - ✓ Determination of reward
  - ✓ Such other issues relating to informant as Board may specify

Question no. 18. Write a short note on Informant Reward

- Board may declare an Informant eligible for Reward and intimate him or his legal representative to file an application (Amount of reward = 10% of monetary sanctions up to a maximum of Rs 10 crores)
- Amount of Reward shall be determined by the Board
- Applicant to disclose the identity and submit Informant Reward Claim Form
  - ✓ If the total reward **is less than or equal to Rupees One Crore, the Board** may grant the said reward upon the issuance **of the final order by the Board:**
  - ✓ If the total reward payable is **more than Rupees One Crore,** the Board may grant an **interim reward** not exceeding Rupees One Crore **upon the issuance of the final order by the Board and**
  - ✓ the remaining reward amount shall be paid only **upon collection or recovery of the monetary sanctions amounting to at least twice the balance reward amount payable.**
  - ✓ Any reward, whether interim or otherwise under these regulations shall be paid **from the Investor Protection and Education Fund**
- Claim for reward can be rejected if Informant ……………

Please refer to the "Notes" which are present in the Bare Regulation. They will help you write a very good and informed answer.